

SK Telecom Co., Ltd.

KRX: 017670 / NYSE: SKM - A 4x-EBITDA telco with an Anthropic call option attached

RECOMMENDATION: BUY

12-MO TARGET: KRW 105,000 (+22%)

Reference price	52-wk range	Mkt cap	Net debt (incl. leases)
KRW 86,200	KRW 51,400-139,500	KRW 18.5tn / US\$13.6bn	~KRW 9.2tn
Dividend	Controlling holder		
KRW 830 / quarter	SK Inc. 30.6%		

~4.0x

Core EV/EBITDA FY26E once Anthropic and other stakes are stripped out

3.86m

Anthropic shares held (KRW 3.5tn book) - ~KRW 7tn at a US\$2tn IPO

KRW 105k

12-mo target; probability-weighted value ~KRW 107k

Buy: post-breach normalisation is done; two dated catalysts force the market to mark hidden value

~4.0x Core EV/EBITDA FY26E (headline 5.0x) vs 5-yr avg 4.2x	13.0% 2Q26 OP margin - record; OP +67% y/y, beat by 3.5%	3.9% Dividend yield - KRW 830/quarter restored in 1Q26	KRW 105k 12-mo target (+22%); upside/downside +72% / -19%	25% Bear-case probability we assign
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Why now - four forces converging

- **Earnings reset complete:** 1H26 OP KRW 1.10tn is above pre-breach 1H24; churn back to 0.8%; KT's own breach handed SKT ~200k users
- **Anthropic IPO (reported Nov-26):** 3.86m shares, ~0.26%; ~24x per share since 2023; each US\$500bn of valuation = ~KRW 8,200/share
- **SK Horizon:** KKR/IMM pay KRW 3.08tn for 49% of the AI-DC/cable platform - a private-market mark (~KRW 20bn/MW) the stock ignores
- **Sentiment reset:** -38% from the June peak; -16% on 28-Jul on SK Hyper capex fear; BoK now at 3.00%

What has to go right

- Anthropic prices at or above the US\$965bn Series H mark and SKT sets out a monetisation / distribution policy
- Mobile revenue stabilises as 5G mix and share recovery offset government-led tariff cuts
- SK Hyper is funded Horizon-style with partner capital - the KRW 3,320 DPS stays a floor
- No class-wide damages in breach litigation; spectrum re-allocation lands at ~KRW 1.2-1.3tn for SKT

Position sizing: event-driven, medium conviction. The core is a low-beta 4% yielder; the equity is now a levered play on one private AI asset whose IPO timing SKT does not control, inside a chaebol that sets capital allocation at group level - size accordingly.

SK Telecom at a glance - Korea's #1 mobile operator turning into an AI-infrastructure originator

What it does

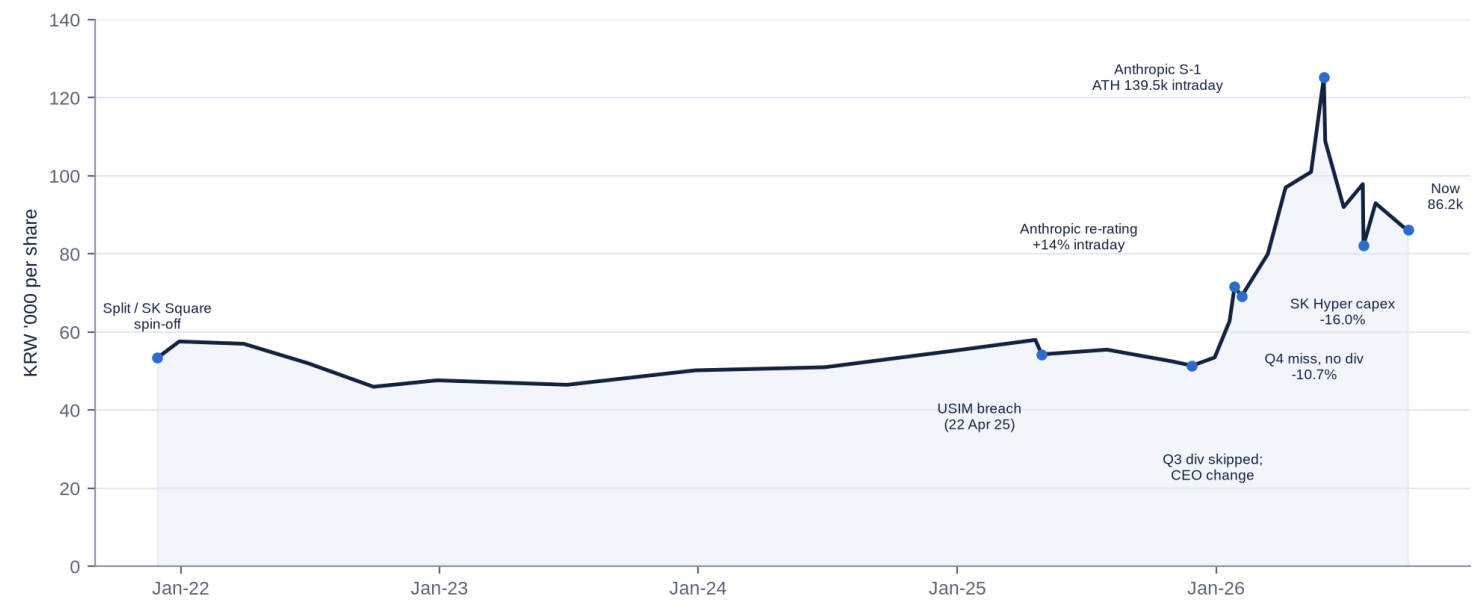
- #1 of three Korean MNOs: ~23m handset users, 39% share, 18.0m 5G subscribers; 100% of SK Broadband (#2 broadband & pay-TV)
- FY25 revenue KRW 17.1tn, EBITDA ~KRW 4.7tn (breach year); FY26E KRW 17.65tn / 5.6tn - >99% domestic
- AI-DC revenue growing ~90% y/y (KRW 136bn in 2Q26); SK Horizon (318MW) and SK Hyper (5GW ambition) are the growth vehicles
- Investment book KRW 8.26tn (end-25) incl. Anthropic, Hana Financial (~3.1%), Rebellions (~18% look-through), Penguin Solutions (~10%)

Divisions - FY25 (entity basis, KRW bn)

Division	Revenue	OP	Trend
SKT standalone (MNO)	12,051	812	OP -47% (breach)
SK Broadband	~4,541	289	Rev +3%; 2Q26 OP +44%
AI-DC (memo)	520	small	+35% FY25; +90% 1H26
Other / elims	~507	~-28	Non-core disposals
Consolidated	17,099	1,073	FY26E OP ~2.0tn [e]

The single most distinctive fact: ~29% of SKT's market value (~KRW 5.4tn) is backed by marked investments - chiefly a 0.26% stake in Anthropic - so the listed equity is simultaneously a regulated utility and a pre-IPO AI tracker.

From breach-driven low (KRW 51,400) to Anthropic peak (139,500) and back to 86,200



Key catalysts

- **NOV 2021** SK Square spin-off and 5:1 split
- **APR 2025** USIM breach: 26.96m IMSI records; ~0.8m users lost
- **AUG-OCT 2025** PIPC fine KRW 134.8bn; Q3 OP -91%; dividend skipped; CEO replaced
- **JAN 2026** Anthropic US\$380bn round; +14% intraday; Wellington 5.01%
- **FEB 2026** Q4 miss, no year-end dividend (-10.7%)
- **JUN 2026** Anthropic US\$965bn Series H + S-1: +11.5%, +11.6%, then -13%
- **28 JUL 2026** SK Hyper capex: -16.0%
- **27 AUG 2026** SK Horizon KRW 3.08tn deal with KKR/IMM

Headline multiples look full; the core telco is still priced at a Korea discount

Metric	SKT	KT	LG U+	NTT	KDDI	Chunghwa	Telstra	DT
EV/Sales	1.6x	0.6x	0.8x	1.7x	1.8x	4.0x	2.3x	2.6x
EV/EBITDA	5.0x (core ~4.0x)	3.7x	3.5x	6.8x	6.0x	11.5x	8.0x	6.8x
EV/EBIT	14.0x	10x	12x	15x	11x	20x	16x	13x
P/E	14.1x	10x	9x	11.5x	13.5x	25x	24x	14x
EBITDA margin	32%	20%	25%	27%	33%	37%	36%	40%
EBIT margin	11%	7%	6.5%	12%	18%	20%	17%	20%
ND/EBITDA	1.6x	1.3x	1.6x	2.8x	1.0x	net cash	1.8x	2.3x
Div. yield	3.9%	4.5%	5%	3.3%	3.0%	3.8%	4.0%	3.0%

FY26E / NTM; peers are indicative ranges (±15-20%) compiled without terminal access [u]. Source: company data, broker tables, our estimates.

What the comparison shows

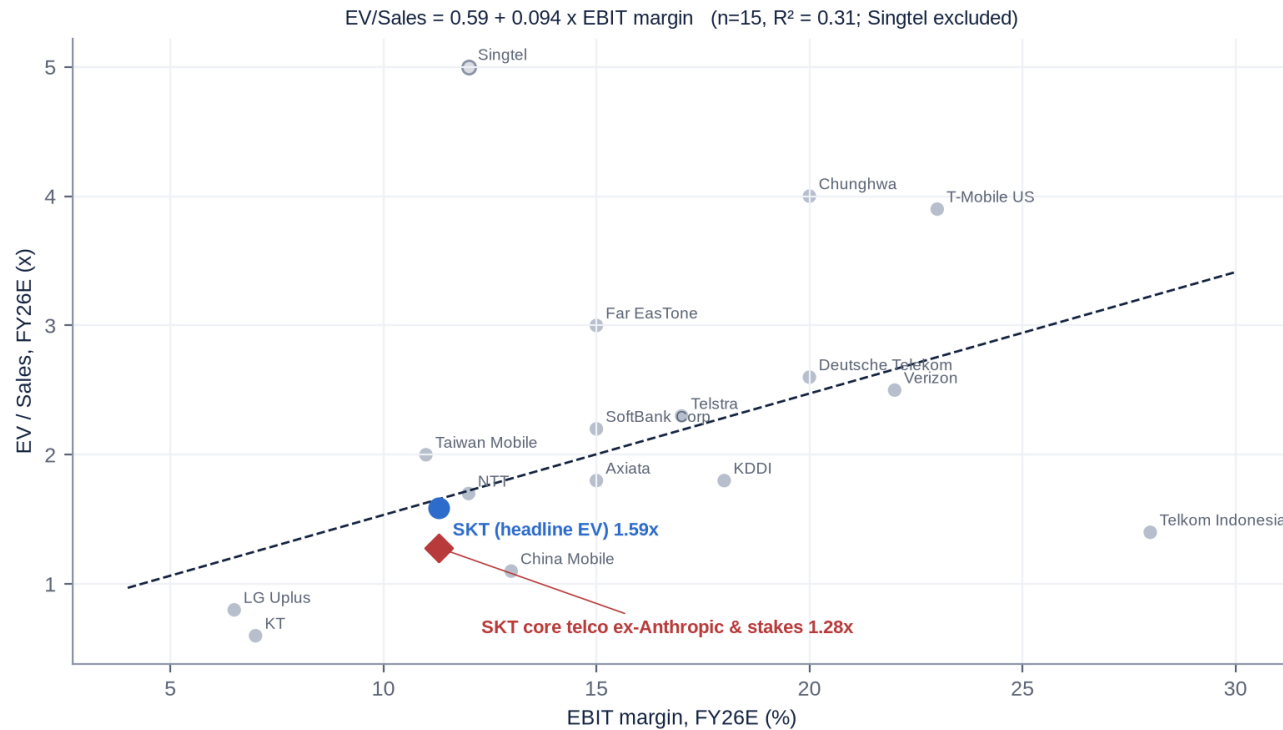
- SKT trades at a premium to KT / LG U+ on every headline metric - because its EV includes ~KRW 5.4tn of investments
- Ex-stakes, SKT's ~4.0x EV/EBITDA is in line with its 5-yr average (4.2x) and ~40% below Asian/European incumbents

The honest counter-read

- P/E 14x vs ~9.5x history and a 3.9% yield vs 5.5% average: vs its own past, SKT is expensive
- The whole Korean trio trades below regional peers - tariff intervention and chaebol governance are systemic

Regression: fair on headline EV, ~23% cheap on the core telco

EV/Sales vs. EBIT margin (16 listed telcos)

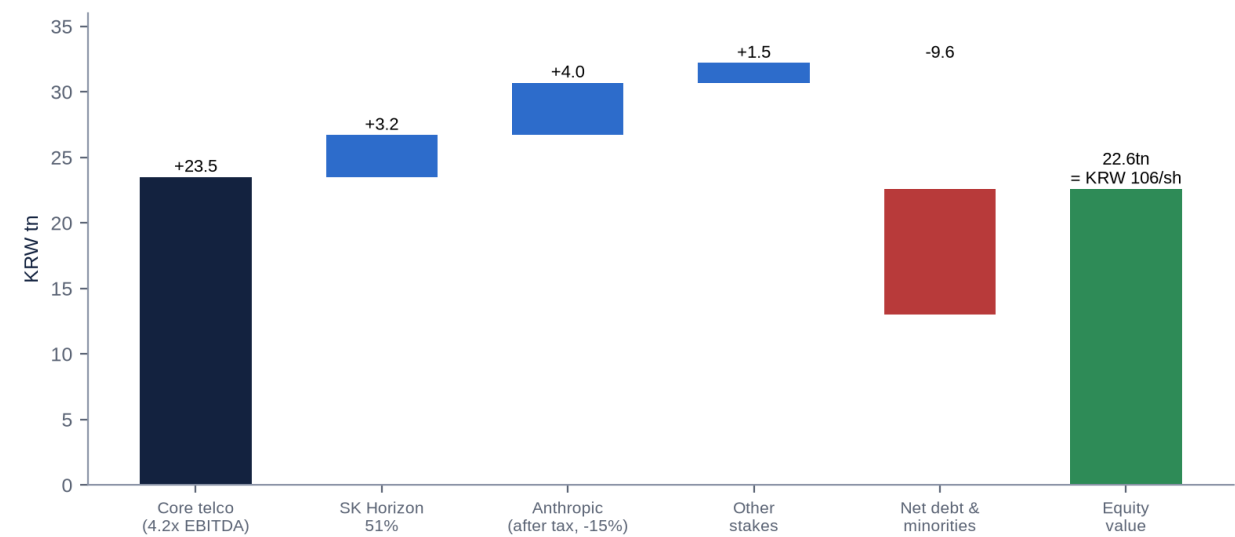


Regression (15 peers, Singtel excluded): $EV/Sales = 0.59 + 0.094 \times EBIT\ margin$, $R^2 = 0.31$. At SKT's 11.3% FY26E EBIT margin the fair EV/Sales is ~1.66x.

How to read it

- **Headline EV (1.59x) sits on the line** - the market is not mispricing SKT as a whole
- **Core EV (1.28x)** - after removing Anthropic book value and other investments - sits ~23% below the line, alongside KT and LG U+
- R² of 0.31 is only moderate: country risk, regulation and tower/fibre structures explain much of the scatter - treat as a cross-check, not a target
- Closing half of the core gap (to ~1.47x) is worth ~KRW 16,000 per share

Sum-of-the-parts: KRW 106,000 per share in the base case



Base-case SOTP (KRW tn)

Component	Method	KRW tn
Core telco	4.2x FY27E EBITDA ex-AI-DC	23.5
SK Horizon 51%	KKR/IMM deal value	3.2
Anthropic	US\$1.75tn IPO, 24% tax, 15% disc.	4.0
Other stakes	Hana, Rebellions, Penguin etc. at 80%	1.5
Net debt & minorities	Dec-25	-9.6
Equity / share	213.0m shares	22.6 / KRW 106k

- Anthropic and SK Horizon together are ~32% of base-case equity value
- At today's price the market implies ~3.5x core EBITDA if Anthropic is valued at its base-case after-tax, discounted value

SKT owns 3,860,330 Anthropic shares - ~0.26%, KRW 3.5tn at book

US\$100m

Initial investment, Aug 2023 (~US\$4-5bn valuation)

+157,189

Shares added in Series H for KRW 139.9bn (Jun-26)

KRW 3.5tn

Carrying value 30-Jun-26 (+KRW 2.1tn in 1H26)

~24x

Per-share value creation since entry

Nov-26

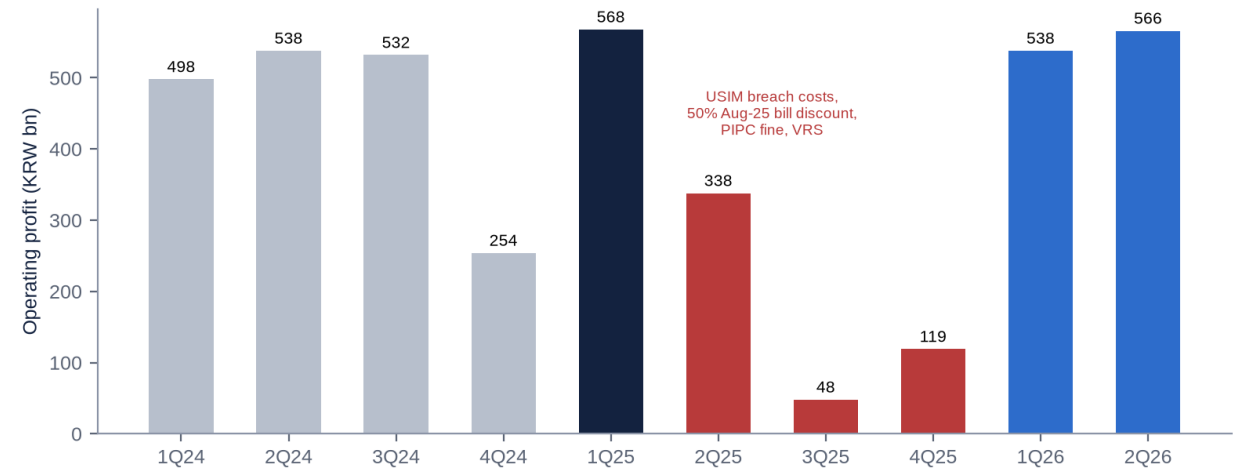
Reported IPO timing (WSJ)

Anthropic valuation	SKT stake (KRW tn)	After 24% tax	% of SKT mkt cap	Per SKT share
US\$965bn (Series H)	3.5	2.7	19%	KRW 16,400
US\$1.5tn	5.2	4.0	28%	KRW 24,500
US\$2.0tn (reported IPO talk)	7.0	5.4	38%	KRW 32,700
US\$2.5tn	8.7	6.7	47%	KRW 40,900

Assumes ~1.51bn Anthropic shares (US\$965bn / ~US\$640 per share implied by SKT's Series H purchase), KRW 1,365/US\$; tax on gain vs ~KRW 272bn cost [e].

- What to watch
- **Accounting:** FVOCI vs FVTPL not confirmed - FVTPL would put a multi-trillion-won gain through the P&L at IPO
 - **Lock-up:** a standard 180-day lock-up pushes any monetisation to ~2H27
 - **Intent:** the Series H top-up and "Project Glasswing" signal a strategic, not financial, holding - no sale plan announced
 - **Risk:** the 29-Sep prospectus shows a US\$42bn 2025 net loss - volatility will transmit directly to SKT

The breach trough is behind us; operating leverage is now visible



KRW bn	FY25A	FY26E	FY27E	FY28E
Revenue	17,099	17,650	18,250	18,900
EBITDA	4,663	5,620	5,850	6,100
EBIT	1,073	2,000	2,120	2,250
EBIT margin	6.3%	11.3%	11.6%	11.9%
EPS (KRW)	1,825	6,100	6,240	6,530
DPS (KRW)	1,660	3,320	3,400	3,500
P/E	47x	14.1x	13.8x	13.2x

Our estimates; consensus FY26 EPS KRW 5,661-6,281, consensus TP ~KRW 116k.

- 2Q26: OP 566bn (+67%), beat by 3.5%; revenue missed by 1.2% - growth is cost-led
- Mobile revenue still flat; AI-DC (+92%) and SKB (+44% OP) do the work
- Minority leakage from SK Horizon caps FY27 EPS growth at ~2%

Conservative leverage, but a stack of commitments is competing with the dividend

~1.6x Net debt / EBITDA FY26E incl. leases	AAA / A3 / A- KR domestic / Moody's / S&P - affirmed post-breach	KRW 3.08tn SK Horizon inflow from KKR/IMM (1Q27)	~KRW 3.4tn Commitments: spectrum ~1.25, SK Hyper 0.75, security 0.7, SK hynix-linked 0.74 [u]
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Capital-allocation record

- **Good:** 2021 split; Anthropic (~24x); SKB minorities at ~5x EBITDA; disposals (Kakao, Joby, SK Comms, SK Stoa)
- **Poor:** CJ HelloVision (blocked), ifland (closed), FI-funded ventures with puts, under-investment in security
- **Unclear:** SK Hyper 5-15GW ambition and the KRW 738bn SK hynix-linked commitment - the source of the 28-Jul sell-off

Priorities we would push for

- 1. A floor of KRW 3,320 DPS for 2027-29 written into policy
- 2. Every SK Hyper phase co-funded by third-party capital, SKT equity capped at KRW 750bn
- 3. Disclosure of KKR/IMM exit rights at SK Horizon
- 4. A published Anthropic monetisation / distribution framework post lock-up

No - the control structure makes a conventional campaign impractical

30.57% SK Inc. stake (65.7m shares) - Chey Tae-won controls SK Inc.	49% Statutory foreign-ownership cap; ~40% foreign-held	5.01% Wellington - the only disclosed new 5% holder (Jan-26)	0 Activist campaigns at SKT in the 2020s
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Why activism is unlikely

- SK Inc. must keep ≥20-30% under holding-company rules - it is a permanent holder
- Foreign cap and MSIT public-interest review block hostile accumulation
- History: Sovereign Asset Management's 2003-05 fight at SK Corp lost the board votes (though it forced reforms)

Where the pressure could come from

- As Anthropic grows to 20-40% of market cap, SKT becomes a quasi-holding company - a classic engagement angle (distribution, buyback, tracking stock)
- Group-level events: SKT/SK Square merger, SK Inc. restructuring, intermediate-holdco conversion
- Board: 5 of 8 directors new in 2026, CEO appointed via the group reshuffle - governance engagement is the realistic lever

Not a target - but asset-level deals are the special situation

Transaction	Date	Value	Multiple
SK Horizon 49% (KKR / IMM)	Aug-26	KRW 3.08tn	~KRW 20bn/MW
SKB 24.8% minorities (SKT)	2024-25	KRW 1.15tn	~5x EBITDA [e/u]
SK Shieldus (EQT)	2023	EV ~KRW 3.3tn	~11x [u]
TIM NetCo (KKR)	2024	up to €22bn	~9-10x [u]
MasOrange merger	2024	€18.6bn EV	~6-7x [u]
Frontier (Verizon)	2024-26	US\$20bn EV	~9.5x [u]

What a control price would look like

- At 6.5x core EBITDA plus stakes, SKT would be worth ~KRW 165,000/share (+90%) - a cross-check only
- Impediments are decisive: SK Inc. control, 49% foreign cap (FTA carve-out excludes SKT), MSIT and KMCC approvals, post-breach politics
- The realistic special situations: (1) further PE carve-outs (SK Hyper), (2) Anthropic monetisation/distribution, (3) SKT-SK Square recombination

Asymmetric: -19% downside vs +72% upside; probability-weighted ~KRW 107,000

	Bear (25%)	Base (50%)	Bull (25%)
Revenue growth FY27E	+1%	+3.4%	+5%
EBITDA margin FY27E	30%	32.1%	33.5%
Core EV/EBITDA	3.6x	4.2x	5.0x
Anthropic valuation	US\$0.9tn, 30% disc.	US\$1.75tn, 15% disc.	US\$2.5tn, no disc.
SK Horizon 51%	KRW 2.8tn	KRW 3.2tn	KRW 3.8tn
Equity value	KRW 14.8tn	KRW 22.6tn	KRW 31.6tn
Per share	KRW 69,500 (-19%)	KRW 106,000 (+23%)	KRW 148,000 (+72%)
Implied FY26E P/E	11.4x	17.4x	24.3x

Downside support: a 4% yield, ~1.6x leverage and ~3.6x core EBITDA in the bear case. **Upside driver:** almost entirely the Anthropic mark and the re-rating of the core towards Asian peers once capital allocation is clarified.

Anthropic pricing and the 3Q26 print dominate the next two quarters

LATE OCT / EARLY NOV-26	3Q26 results & Q3 dividend	First clean y/y comparison (3Q25 OP KRW 48bn); DPS KRW 830 expected.	HIGH
NOV-26 (REPORTED)	Anthropic IPO pricing	Marks 3.86m shares; watch accounting treatment and lock-up.	CRITICAL
LATE OCT - DEC-26	SK Group reshuffle	Management continuity; group capital-allocation signals.	MEDIUM
4Q26 - 1Q27	SK Horizon EGM & closing	KRW 3.08tn from KKR/IMM; disclosure of exit rights.	HIGH
ONGOING	SK Hyper announcements	Sites, power, anchor tenants - and who funds them.	HIGH
EARLY FEB-27	FY26 results; year-end DPS	Delivery of "earnings above pre-breach"; 2027 outlook.	HIGH
1H-27	Rebellions IPO	~18% look-through stake valued at ~KRW 0.6tn.	MEDIUM
~MAY-27	Anthropic lock-up expiry (if 180 days)	Monetisation optionality; buyback/special dividend debate.	HIGH

What would make this thesis wrong

01 Group-driven capital allocation

SK Hyper and the SK hynix-linked commitment turn SKT into a group funding vehicle; dividend credibility erodes.

02 Anthropic disappointment

IPO delayed or priced below US\$965bn; post-IPO drawdown - with a lock-up SKT cannot react to.

03 Regulatory price reset

Universal low-cost 5G, MVNO wholesale cuts and spectrum fees structurally lower ARPU.

04 Breach litigation tail

Class-wide damages (KRW 100k x 23m users = ~KRW 2.3tn) or a second security incident.

05 Rates and flows

BoK hiking cycle and foreign outflows de-rate bond-proxy Korean telcos.

06 Subsidy war

Post-Dantong-beop repeal, a weakened KT or bank MVNOs trigger aggressive handset subsidies.

Recommendation: BUY

KRW 105k

12-mo target (+22%)

~4.0x

Core EV/EBITDA ex-stakes

3.9%

Dividend yield

KRW 7tn

Anthropic at US\$2tn IPO

- Post-breach normalisation is complete: 2Q26 OP +67%, record 33% EBITDA margin, KRW 830 quarterly dividend restored
- Ex-stakes the core telco trades on ~4.0x EBITDA - ~23% below the peer EV/Sales-margin regression line
- Two dated catalysts - Anthropic IPO (Nov-26) and SK Horizon closing (1Q27) - force the market to mark ~KRW 7-10tn of non-core value
- Main risk is not the telco but capital allocation within SK Group (SK Hyper) - the reason we size as an event position

Sizing & monitoring

Size as event-driven, not core: a single-asset AI exposure inside a chaebol-controlled utility.

Hard review triggers: Anthropic prices below US\$965bn; SKT equity into SK Hyper beyond KRW 750bn without co-investors; quarterly DPS below KRW 830.

Track separately: Anthropic IPO news flow, SK Group reshuffle, breach litigation, BoK path.